Exhibit 3: Mr Talwar’s financial goals along with the current equivalent cost

	Goal	Cost in Rs lakhs [at today’s prices]	Year of Goal
1	Akanksha’s higher education	80	2021
2	Ronit’s higher education	80	2025
3	Akanksha’s wedding	70	2024
4	Ronit’s wedding	70	2028
5	Buying a holiday home	100	2027
6	Buying a car	10	Every three years
7	International vacation	5	Every year

Source: Ambit Capital

When Nikhil uploaded these goals on the financial planning software, he had to account for an important adjustment—inflation. The current cost was compounding at the rate of inflation and becoming uncomfortably high at the time of actual occurrence. For example, Akanksha’s wedding, which would cost Rs 70 lakh now, would cost Rs 1.2 crore in 2024, assuming an inflation rate of 8 per cent.

The software showed the devastating effect inflation would have on Mr Talwar’s cash flow. It showed that at the current rate of savings (income minus expenses) and returns on his investments, his standard of living would come drastically down once he retired at the age of sixty. The cost of his goals was going up considering an inflation rate of 8 per cent per annum